STRATEGY PROPOSAL

The Cosmo Circle

Turning word of mouth into repeat sales

Growth strategy for Cosmo in Nigeria · Prepared for GVS Cosmetics · October 2026

Build a community that sells, not a ₦150m billboard

Instead of paying one influencer ₦150m upfront, invest up to **₦120m over 12 months** in the Cosmo Circle: verified buyers who meet, share and sell, with every sale tracked by a code.

Staged, not all at once
Phase 1 risks ₦23m. Each later phase unlocks only when targets are hit.

2×
monthly revenue by October 2027

25,000
verified members by October 2027

35%
of members buying again within 90 days

Cosmo has awareness. What it needs now is loyalty

Made in Dubai

Sterling Perfumes Group; ISO 22716, ISO 9001 and Halal certified

80+ countries

Founded 2018; 2,500+ products across 20+ categories

Launched in 2024

2024 launch event with Kcee, Flavour and Ric Hassani

3 ambassadors

Nini, BamBam and Montana since November 2024

What this changes

- No "Made in Nigeria" claim: win on certified quality and reliable stock
- A weaker naira raises costs straight away
- "Organic" needs proof in a market burned by fake organic creams
- Micro creators already got people talking; now turn talk into repeat sales

Sources: Gulf News; Cosmo Cosmetics UAE; Observer Dubai; BrandSpur; ThisDay

A big market, growing mostly through higher prices

+23%

naira sales growth in 2025, with inflation near 20%

Euromonitor

$1.17bn

formal market in 2025, rising to $2.08bn by 2032

Markntel Advisors

$10.17bn

whole market in 2025, counting open markets and informal sellers

Beauty West Africa

14.63%

inflation in Sept 2026, down from 20.98% a year earlier

NBS, via Nairametrics

Growth must come from loyalty and share

Prices, not volumes, drive the growth; the market won't carry us.

Most spending happens outside formal shops

Reach resellers, salons and WhatsApp sellers.

2026–27 is a window

Spending power is recovering as inflation eases.

Big brands retreat; local brands win on closeness

Player	What they are doing	Lesson for Cosmo
NIVEA	₦3bn promotion to April 2026; 2m+ winners through codes on packs	Proof-of-purchase codes make loyalty measurable
PZ Cussons	Profit up 349%, helped by selling non-core assets	Avoid the mass soap and lotion price fight
Unilever, P&G, GSK	Stopped making goods locally or went import-only	Shoppers are switching; reliable stock wins
Zaron	Wide pharmacy reach makes it a first skin care buy	Be on the shelves people already visit
Arami, House of Coco	One hero product, or one skin problem owned	Give people one clear reason to recommend us
Counterfeiters	Over ₦3bn of fakes found in one Lagos warehouse, Feb 2026	Proving authenticity is a selling point

Sources: BusinessDay; Nairametrics; ThisDay; Oyster Skin

What buyers are saying, and how Cosmo answers

“Is this original?”

Bioré says it isn't sold in Nigeria; Vaseline launched a WhatsApp authenticator in April 2026

A code in every pack, checked on WhatsApp

“Organic labels can't be trusted”

NAFDAC sealed a maker selling “organic” creams with banned bleaching agents

Show certificates, ingredients and NAFDAC numbers

“Prices keep going up”

A weaker naira pushed up import costs and shelf prices

Minis, refills and member prices

“I just want even skin”

77% of Nigerian women use skin-lightening products (WHO survey)

Healthy, even skin: never lighter skin

Sources: ARISE; BusinessDay; Gazette; Scientific Reports (2023), citing a WHO survey

Nigerians buy on trust, from people they know

7 in 10 rely on personal recommendations

67.4% prefer businesses that offer rewards

6 in 10 switched brands last year because of price

TikTok 47.8m ad reach
Where people discover

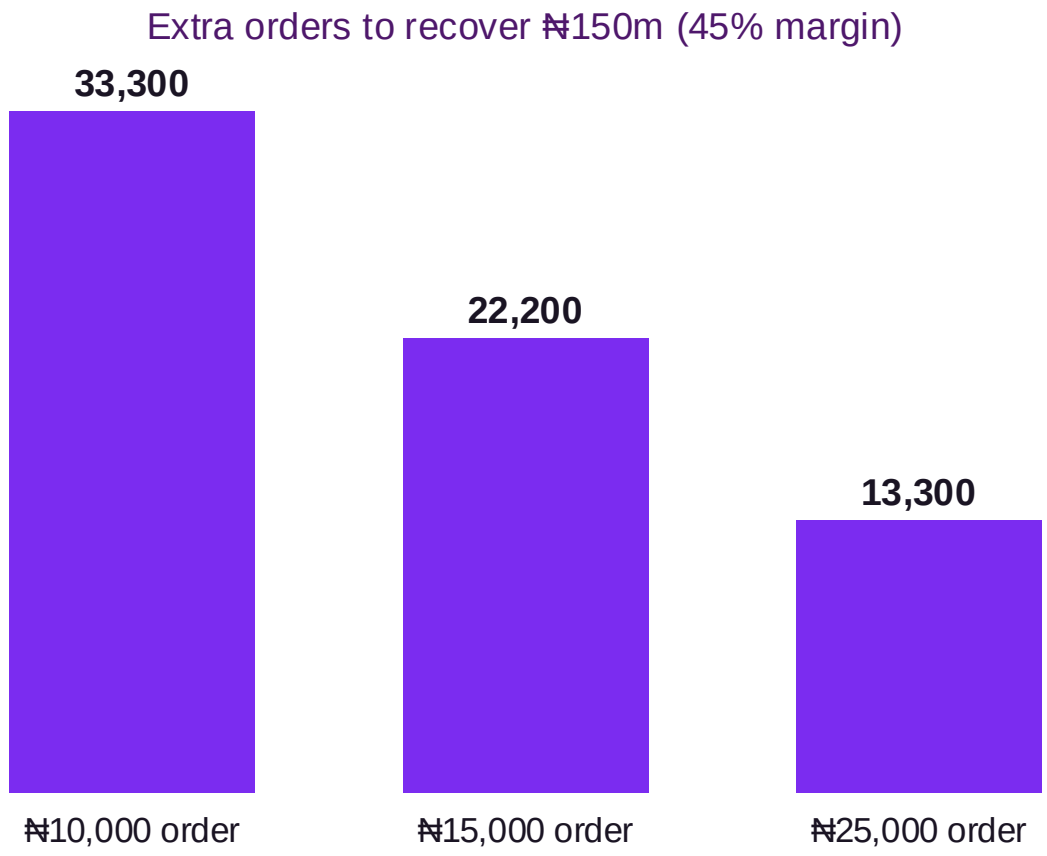
Instagram 10.0m ad reach, down 6.1%
Where people browse and buy

WhatsApp Used by 96.5% of internet users
Where people buy, ask and stay

A 2025 study of 350 Nigerian social media users: engagement and authenticity drive purchase intent; an influencer's reach does not.

Sources: Splice survey via TechCabal; NielsenIQ via Nairametrics; Redeemer's University (2025); Krestel, citing DataReportal

₦150m needs 13,000+ extra orders to pay back



Reach doesn't sell
In a 2025 Nigerian study, reach had no significant effect on purchase intent

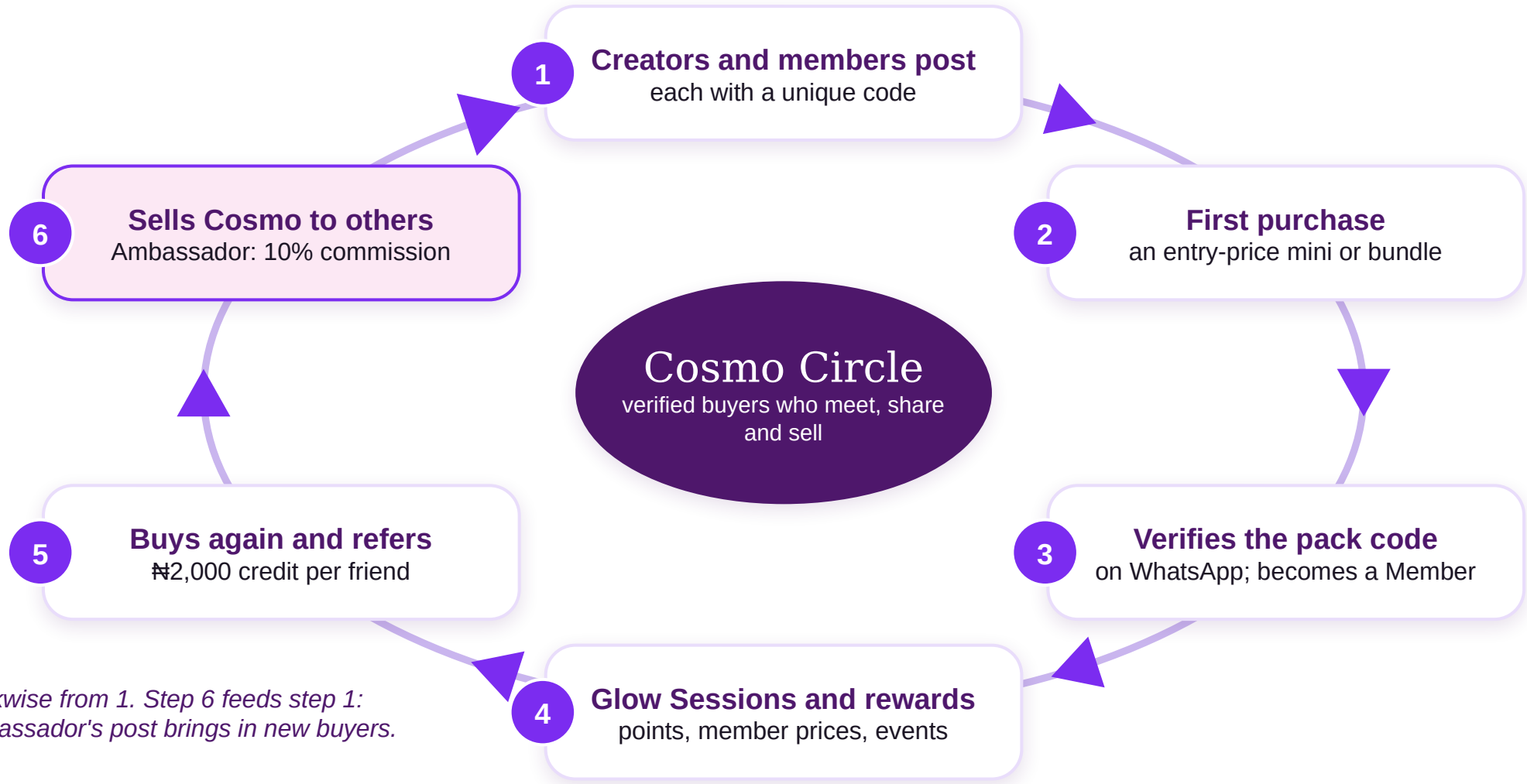
Big accounts engage less
Mega accounts see 0.5–1% engagement; sampled Nigerian accounts show about 20% fake followers

The same money goes further
₦150m buys about 50 celebrity posts, or 600–3,000 micro creator posts

Still want a big name? Audit the audience, pay for one coded test post, then sign a smaller fee plus commission on sales.

Assumes a 45% gross margin; replace with Cosmo's real margin. Sources: Nitro; Snippet; Hypefy; Modash; Redeemer's University (2025)

The Cosmo Circle: every sale feeds the next one



Read clockwise from 1. Step 6 feeds step 1: every Ambassador's post brings in new buyers.

Five moves make it work

1

A code in every pack

Scratch-code stickers applied at GVS's warehouse. Buyers verify on WhatsApp, earn points and join.

2

Three membership tiers

Member, Insider, Ambassador: there is always a next level worth reaching.

3

Glow Sessions

Monthly meet-ups of 40–60 with a dermatologist. ₦5,000 tickets come back as product vouchers.

4

Creators paid on sales

20–25 creators, a code each, base fee plus commission. Drop any whose cost per sale stays over ₦5,000 for two months.

5

Members who sell

Ambassadors earn 10% commission; the best become verified resellers, listed publicly.

Positioning: verified original, from a certified factory, proven on Nigerian skin. Healthy, even skin; never lighter skin.

Three tiers: always a next level to reach

Member

Any buyer who verifies a pack code

- 5% back in points
- ₦2,000 credit per referred friend
- Member bundle prices
- Birthday gift and monthly skin Q&A

Cosmo gets: Name, phone, city and purchase history

Insider

3+ purchases or 3 referrals in 6 months

- Early access to launches
- Glow Session invites
- Product-testing panel
- A vote on the quarterly release

Cosmo gets: Repeat sales, referrals and feedback

Ambassador

Top 1–2%, by application

- Personal code, 10% commission
- Content kit
- Monthly call with the founders
- Option to resell at wholesale

Cosmo gets: A sales force paid only on results

Every phase must earn the next one

1 · Prove it in Lagos

Nov 2026 – Jan 2027 · ₦23m

- Baseline and pack codes
- WhatsApp verification live
- 100 founding members
- Lagos Glow Sessions, Dec–Jan

2 · Expand to 3 cities

Feb – Apr 2027 · ₦39m

- Abuja and PH Glow Sessions
- Ambassador tier opens
- First 30 verified resellers
- Cosmo Day #1 in April

3 · Scale the network

May – Oct 2027 · ₦58m

- Campus chapters
- 100 verified resellers
- Men's chapter pilot
- Cosmo Day #2 in October

Gate 1 · end Jan 2027
3,000 members
30% of sales coded
≤ ₦6,000 per customer

Gate 2 · end Apr 2027
10,000 members
30% buy again
revenue +50%

Target · Oct 2027
25,000 members
35% buy again
revenue doubled

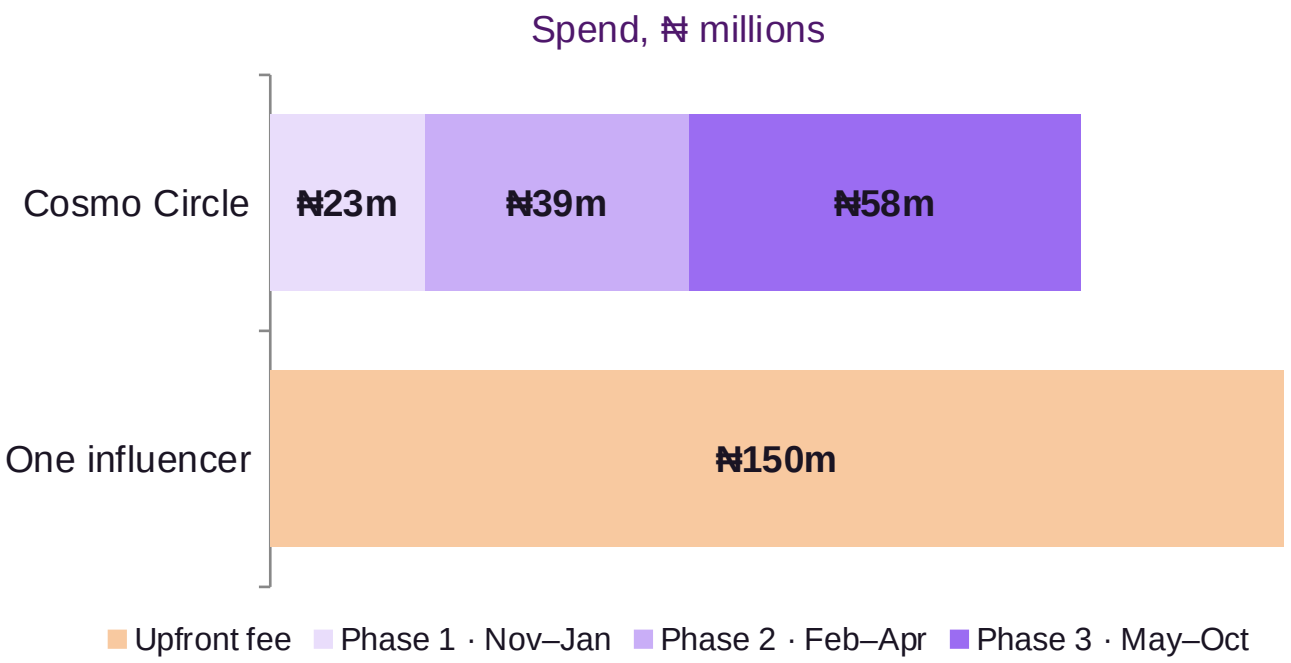
No sale without a code, so every result is measurable

KPI	Jan 2027	Apr 2027	Oct 2027
Monthly revenue vs today	+20%	+50%	+100%
Verified members	3,000	10,000	25,000
Sales carrying a code	30%	50%	70%
Members buying again within 90 days	20%	30%	35%
New customers from referrals	10%	15%	25%
Cost per new verified customer	≤ ₦6,000	≤ ₦5,000	≤ ₦4,500
Active Ambassadors (10+ orders a month)	10	50	150

How we track it

- Pack, creator, referral and reseller codes
- WhatsApp Business for code checks
- One customer list keyed on phone number
- Weekly dashboard, reviewed every Monday

₦120m in three stages, against ₦150m in one go



Where it goes	₦m
Micro creator base fees	30.0
Glow Sessions (29)	17.4
Cosmo Days (2)	15.0
Community lead and data officer	12.0
Paid boosts of member content	12.0
Pack codes, WhatsApp, database	8.0
Big-name test (optional)	8.0
Content, ARCON, campus, contingency	17.6
Total	**120.0**

Pays back at about ₦400m of extra sales. Commissions and rewards (about 15% of tracked sales) are paid only when sales happen.

Planning estimates; get quotes before Phase 1. Payback assumes a 45% gross margin.

What we need to start in November

Decisions and data

1. Six months of sales, orders, average order value and margin
2. Landed cost per product after freight and duty
3. Confirmation that the licence allows pack stickers and promotions
4. The hero product, and the skin problem it solves best
5. NAFDAC status of every product we plan to push
6. A full-time community lead from November

The Circle feels like spam
At most two broadcasts a week; mostly skin education, not offers

A bad reaction goes viral
Dermatologist on call; reply to every complaint within 24 hours

Ads breach ARCON rules
Vet campaign creative first; brief every creator on disclosure

The first 30 days

1

Record the baseline
sales, margin, repeat rate

2

Order pack codes
and set up WhatsApp verification

3

Hire a community lead
full-time from November

4

Invite 100 founding members
from buyers and creators' audiences

5

First Lagos Glow Session
in December, the festive season

Every sale tracked. Every phase earned.

Sources

Cosmo: Gulf News (Oct 2026); Cosmo Cosmetics UAE, About; Observer Dubai (BeautyWorld 2026); ThisDay (Nov 2024); BrandSpur; Vanguard

Market: Euromonitor, Beauty and Personal Care in Nigeria; Markntel Advisors; BusinessDay (Euromonitor 2022 data); Beauty West Africa; NBS via Nairametrics (Sept 2026 inflation, Oct 2026 naira)

Players: BusinessDay (NIVEA promotion, Unilever exit); Nairametrics (PZ Cussons FY2026, NAFDAC seizure); ThisDay (P&G, GSK); Oyster Skin; Prime Business Africa

Consumers: Splice survey via TechCabal and BellaNaija; NielsenIQ via Nairametrics; Redeemer's University study (2025); Krestel, citing DataReportal; Lilach Bullock (TikTok Shop)

Sentiment and rules: ARISE; BusinessDay (Vaseline, skincare risks, ARCON); Gazette; Scientific Reports (2023); Zikoko; Mondaq and NAN (NAFDAC); Tribune; KPMG; IT Edge News

Influencers: Nitro; Snippet; Hypefy; Modash

All figures checked against their source pages on 28 October 2026. Full links are in the strategy doc.